WAVERLEY GATEWAY GUIDE

Connecting International Capital

SERBIA

Europe

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Belgrade	Capital and largest economy; seat of government, the National Bank of Serbia and most international firms, with strong IT and business-services talent	IT and software, business services, finance, real estate
Expo 2027 site (New Belgrade / Sava riverside)	About 25 hectares of new urban development for Expo 2027 (15 May–15 August 2027), with an estimated €1.29 billion of investment including a new Zemun–Airport–Expo rail link	Construction, hospitality, events, urban services
Novi Sad and Vojvodina	Serbia's second city and an IT and manufacturing hub, with free zones in Novi Sad, Subotica, Zrenjanin and Apatin close to EU borders with Hungary, Romania and Croatia	IT, automotive components, agro-processing, logistics
Kragujevac (Šumadija)	Centre of Serbia's automotive industry, which led 2025 export growth, with two licensed free zones	Automotive, tyres, metalworking
Šabac, Smederevo and the Danube–Sava corridor	Free zones on Serbia's main river corridors, offering duty-free import of equipment and materials for export production	Metals, manufacturing, river logistics
Southern Serbia (Pirot, Vranje)	Free zones on the route towards Bulgaria and North Macedonia, offering competitive labour costs	Rubber and plastics, textiles, light manufacturing
Jadar valley (western Serbia)	Site of Rio Tinto's Jadar lithium project, estimated at more than €2.5–3 billion and in care and maintenance since 2025 pending environmental approval	Critical minerals, battery supply chain

INVESTOR ENTRY ROUTES

- Development Agency of Serbia (RAS) provides investor facilitation, site selection and access to state incentives for job-creating investments
- A 15% flat corporate income tax, with a 10-year corporate tax exemption for companies that invest at least RSD 1 billion (about €8.5 million) and employ at least 100 new workers
- Fifteen licensed free zones, including Belgrade, Novi Sad, Subotica and Kragujevac, offering exemption from customs duties and VAT on imported equipment and materials for export production

- EU candidate status: accession negotiations began in January 2014 and 22 of 35 chapters are open, with the Commission assessing Cluster 3 (competitiveness and growth) as ready to open
- Dinar monetary framework under the National Bank of Serbia, with the key policy rate at 5.75% and an inflation target of 3% ±1.5 percentage points
- IMF Policy Coordination Instrument, a non-financial programme whose third review was completed in June 2026, anchoring fiscal and energy-sector reform
- Expo 2027 Belgrade procurement and its related transport and urban infrastructure programme

MARKET-ENTRY OBSERVATION

Serbia in November 2026 combines a competitive cost base, low taxes and established manufacturing clusters with a new political chapter. The Student List won the 25 October 2026 early parliamentary election with 53% of the vote and about 140 of 250 seats on preliminary results, ending the long period of rule by the Serbian Progressive Party, and a new government is due to be formed after the National Assembly convenes. The economy grew about 2% in 2025, held back by a year of protests, and the GDP flash estimate showed 3.6% year-on-year growth in the second quarter of 2026. Goods exports rose about 8% in 2025, led by the automotive industry. Inflation was 2.2% in August 2026, within the central bank's target band, and the IMF projects foreign direct investment to recover from 2.6% of GDP in 2025 to 4.1% in 2026. Expo 2027, for which 118 countries and organisations have confirmed participation, is driving construction and infrastructure investment in Belgrade.

Serbia's main structural challenge is restoring investor confidence after the sharp fall in foreign investment in 2025 while managing energy-sector exposure and completing the political transition. The oil company NIS, majority-owned by Russia's Gazprom Neft, is under US sanctions; Hungary's MOL signed a binding agreement in January 2026 to buy the Russian stake, but completion still requires separate US approval. The starting position is sound: public debt is estimated at 44.8% of GDP in 2025, the deficit was 2.4% of GDP, and reserves cover about 6.7 months of imports. A new government with a strong anti-corruption and institutional-reform mandate, the Commission's view that Serbia is ready to open Cluster 3, and an IMF-backed reform programme create a clear opportunity for investors positioning ahead of renewed EU convergence.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
US sanctions on NIS	NIS, Serbia's oil company and operator of its only refinery, is under US sanctions; an OFAC licence to February 2027 covers only preparatory steps for MOL's purchase, not completion	Take sanctions advice before any dealings with NIS; a completed sale to MOL would remove Russian ownership and open energy-sector opportunities
Political transition	The Student List won the October 2026 election; the Assembly must convene within 30 days of final results and a government follows within 90 days	Engage early with the incoming government; its anti-corruption and transparency agenda should improve the business climate over time
Lower FDI after 2025 protests	Foreign direct investment fell sharply in 2025, to an estimated 2.6% of GDP	The IMF projects a recovery to 4.1% of GDP in 2026; first movers can secure incentives and sites on favourable terms
Energy prices and inflation	Higher oil and gas prices led the central bank to expect inflation to rise towards 4%	Inflation remains within the target band and the policy rate has been stable at 5.75%; include energy-price scenarios in plans
Kosovo and EU accession pace	The Commission links the pace of accession to the rule of law and normalisation of relations with Kosovo	Opening Cluster 3 would mark progress; monitor the new government's EU agenda and dialogue with Pristina
Jadar lithium project uncertainty	The project has been in care and maintenance since 2025 amid environmental opposition and pending approval	Treat critical-minerals plays as long-term options and engage local communities and environmental standards from the outset

Issue	Potential Impact	Possible Mitigation
Currency and state-owned enterprise risks	Investors face dinar exposure, and the IMF flags fiscal risks from energy and transport state-owned enterprises	Use euro-linked contracts where possible and track IMF-backed restructuring of the power utility EPS

INVESTOR RISK NOTE

Serbia's risk profile is that of an EU candidate country with moderate public debt, a stable monetary framework and a low-tax, export-oriented manufacturing base. The October 2026 election produced a clear result and a peaceful handover is under way, which should end the uncertainty created by more than a year of protests; investors should allow time for the new government to set out its programme. The most important legal consideration is that NIS, the oil company majority-owned by Gazprom Neft, is subject to US sanctions; the OFAC licence issued to MOL in November 2026 covers only preparatory steps and does not authorise completion of the sale, so any dealings with NIS require specialist sanctions advice. Outside the energy sector, Serbia offers investors cost advantages, free-zone benefits and an IMF-anchored fiscal framework, and progress in EU accession talks would bring further gains.

MARKET ACCESS

Serbia's trade is closely tied to the EU, its largest market, under its relationship as a candidate country negotiating membership since 2014, and it sits at the heart of the Western Balkans on the Pan-European corridor linking Central Europe with Greece and Turkey. Free zones near the Hungarian, Romanian, Bulgarian and North Macedonian borders allow duty-free import of inputs for export production, and goods exports grew about 8% in 2025, led by vehicles and tyres. The Danube and Sava rivers provide inland waterway links to Central Europe and the Black Sea, and the Expo 2027 programme is adding rail and river infrastructure in Belgrade. Opening Cluster 3 of the accession talks would deepen alignment with EU single-market rules and strengthen Serbia's role as a nearshoring base for European supply chains.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Government of Serbia (incoming Student List-led government)	Will set economic, fiscal, energy and EU policy after the October 2026 election; a caretaker government serves until a new one is elected	Primary reference point for Serbia's strategic direction and major projects
Development Agency of Serbia (RAS)	National investment promotion agency that administers incentives and supports investors through site selection and licensing	Standard first point of contact for market entry and incentives
National Bank of Serbia (NBS)	Sets the key policy rate, now 5.75%, manages the dinar and reserves, and supervises banks	Relevant for banking, currency and financial-sector matters
Ministry of Finance	Leads the budget, tax policy and the IMF Policy Coordination Instrument	Key counterpart on tax, fiscal and public-finance matters
Ministry of Mining and Energy	Leads energy policy, including negotiations with MOL on the future of NIS and reform of the power utility EPS	Essential for energy-sector engagement and sanctions-related developments
Expo 2027 Belgrade	State company organising Expo 2027 and its €1.29 billion programme of venues and infrastructure	Counterpart for suppliers, sponsors and participating-country partners
Free Zones Administration and individual free-zone operators	Oversee the 15 licensed free zones and their customs and VAT benefits	Relevant for export-manufacturing and logistics projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Serbia, the Foreign Investors Council, the German-Serbian Chamber of Commerce, the British-Serbian Chamber and the Chamber of Commerce and Industry of Serbia are the main business associations and maintain regular dialogue with government. The Development Agency of Serbia promotes the country at international forums and supports investors, while Expo 2027 Belgrade is creating new platforms for business events and country partnerships. The European Bank for Reconstruction and Development, the European Investment Bank, the World Bank and the IMF are active in energy, transport and reform programmes, and EU pre-accession funds support infrastructure and institution-building. Embassies of EU member states, the UK and the US maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Serbia suits investors seeking a low-cost, low-tax manufacturing and services base close to the EU: automotive, electronics and metals manufacturers using free zones in Vojvodina, Šumadija and southern Serbia; IT and business-services companies drawing on talent in Belgrade and Novi Sad; construction, hospitality and infrastructure firms targeting Expo 2027 and its legacy projects; and long-term investors positioning for faster EU convergence under a new reform-minded government. Investors in oil, gas and fuel should take sanctions advice on NIS before any engagement.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Development Agency of Serbia
Open direct dialogue with RAS to test eligibility for state incentives, the 10-year corporate tax exemption and suitable sites.

STEP 2: Compare free zones and industrial sites
Assess the 15 licensed free zones and municipal industrial parks for customs and VAT benefits, labour availability and logistics links.

STEP 3: Track the new government's programme
Monitor government formation, the first budget and the stance on EU accession, energy and major projects, and build relationships with incoming ministers.

STEP 4: Position for Expo 2027 and legacy projects
Identify procurement, sponsorship and post-Expo development opportunities around the New Belgrade site and related infrastructure.

STEP 5: Screen energy-sector counterparts for sanctions exposure
Take specialist advice before any dealings with NIS, and monitor US licences and the outcome of MOL's acquisition.